

do best with up-tilting flags. Both cases do best when the flag tilts against the short-term price trend.

[Table 34.12](#) takes a magnifying glass to the move before and after the flag. For two continuation patterns (rising price trend with an upward breakout and a downward-tilting flag, and the reverse, falling price trend, downward breakout, and upward-tilting flag) I measured the price and time moves.

Let's talk about the bull market results for the first continuation pattern, and you can apply the same logic to bear markets and the second continuation pattern.

Time move. If we expect the flag to be in the middle of the trend, I found that's not true. The flagpole averaged 15 days long, but the move from the breakout to trend end was 12 days long. So expect a quicker end to the move after the breakout.

Price move. I measured the same two legs (flagpole move and flag breakout to trend end). I found that the flagpole saw price move 19%. After the breakout, price moved less, 17%.

Multipliers. This item uses the results of the prior rows to figure out how much to multiply the flagpole to get a better estimate of how long and how far the stock might move.

For example, suppose you see a flag with a flagpole height of \$5 in a stock trading at \$26. The flagpole is $5/26$ or 19% of the current price. I know from the table that the average move after the flagpole ends is 17% along a combined height of $19\% + 17\%$ or 36% high. So $17/36$ is 47%.

If I take 47% of \$5 and add it to the breakout price, I should get a better estimate of how far price might rise. If the breakout is at \$25 (price retraced a dollar in the flag before breaking out upward), the target would be $25 + \$5 \times 47\%$ or 27.35. Clear as mud?

How long will it take to reach the target? Say it took 11 days to rise to the top of the flagpole. The time multiplier is $12/(15 + 12)$ or 44%. So I'd take 44% of 11 days (which is 5 days, rounded up) and that's what I would add to the breakout date. If it's a weekend, then you can use either Friday or Monday as the target.